# Customer Segmentation & Customer Behavior Report

**Database Table:** gold.report_customer

**Date:** May 28, 2026

**Total Customer Base:** 18,482 | **Total Revenue:** $29,351,258

## Executive Summary

This report presents a data-driven analysis of customer behaviour, segmentation, purchase patterns, loyalty, and revenue contribution. The customer base comprises **18,482 customers** distributed across three tiers — VIP, Regular, and New — and spans four age groups. Total recorded revenue across all segments stands at **$29,351,258**. The analysis reveals a notable paradox: while New customers are the most numerous and generate the highest aggregate revenue, VIP customers demonstrate dramatically superior individual spending power, making both groups strategically critical for different reasons.

## 1. Customer Segmentation

### 1.1 Revenue by Segment

| Customer Segment | Total Sales |
|---|---|
| New | $11,086,797 |
| VIP | $10,760,470 |
| Regular | $7,503,991 |

The New segment leads total revenue at **$11,086,797**, marginally ahead of VIP at **$10,760,470**. However, this is driven almost entirely by volume, not individual value — the New segment contains over 8x more customers than VIP. The Regular segment trails significantly at **$7,503,991**, suggesting a potential mid-tier engagement gap that warrants strategic attention.

### 1.2 Customer Distribution Across Segments

| Customer Segment | Total Customers |
| --- | --- |
| New | 14,629 |
| Regular | 2,200 |
| VIP | 1,653 |

The customer base is heavily skewed toward New customers, who represent **79.2%** of the total base (14,629 customers), while VIP accounts for just **8.9%** (1,653 customers). This concentration highlights a significant pipeline challenge: the business must convert a fraction of its 14,629 New customers into Regular and VIP tiers to sustain long-term revenue growth.

### 1.3 Average Order Value by Segment

| Customer Segment | Avg. Order Value |
| --- | --- |
| VIP | $2,633 |
| Regular | $1,682 |
| New | $601 |

The average order value disparity is striking. VIP customers spend **$2,633** per order — **4.4x more than new customers ($601)** and **57% more than regular customers ($1,682)**. This confirms that VIP customers are not just symbolically important; they are fundamentally different buyers who transact at a level that no volume of New customer orders can easily replicate on a per-customer basis.

### 1.4 Revenue and Order Frequency by Age Group

| Age Group | Total Sales | Total Orders | Avg. Sale per Order |
| --- | --- | --- | --- |
| 50–59 | $10,578,347 | 9,066 | ~$1,167 |
| 40–49 | $8,664,719 | 8,416 | ~$1,029 |
| 60–69 | $6,489,920 | 5,911 | ~$1,098 |
| 70–79 | $2,823,237 | 3,115 | ~$907 |
| 80 and Above | $795,035 | 1,149 | ~$692 |

The **50–59 age group** is the dominant demographic by both total revenue (**$10,578,347**) and order frequency (**9,066 orders**), accounting for **36%** of all recorded sales. The **40–49** group ranks second at **$8,664,719** in revenue and **8,416 orders**. Both groups show comparable per-order spending (~$1,029–$1,167), making them the most commercially productive segments. The **80 and Above** group, while smallest, still contributes nearly **$800K** in revenue and should not be overlooked for targeted campaigns.

## 2. Customer Purchase Behavior

2.1 Top 10 Customers by Total Sales

| Rank | Customer ID | Customer Name | Total Sales |
|---|---|---|---|
| 1 | AW00012301 | Nichole Nara | $13,294 |
| 2 | AW00012132 | Kaitlyn Henderson | $13,294 |
| 3 | AW00012308 | Margaret He | $13,268 |
| 4 | AW00012131 | Randall Dominguez | $13,265 |
| 5 | AW00012300 | Adriana Gonzalez | $13,242 |
| 6 | AW00012321 | Rosa Hu | $13,215 |
| 7 | AW00012124 | Brandi Gill | $13,195 |
| 8 | AW00012307 | Brad She | $13,172 |
| 9 | AW00012296 | Francisco Sara | $13,164 |
| 10 | AW00011433 | Maurice Shan | $12,914 |

The top two customers — **Nichole Nara** and **Kaitlyn Henderson** — are tied at **$13,294** in lifetime sales. The top 9 customers fall within a narrow $130 range ($13,164–$13,294), indicating a tight cluster of high-value accounts. Maurice Shan stands slightly apart at **$12,914**, representing a ~$380 gap from the group above. These 10 accounts collectively represent significant concentrated revenue and should be assigned to dedicated relationship management.

### 2.2 Top 10 Customers by Number of Orders

| Rank | Customer Name | Total Orders |
|---|---|---|
| 1 | Mason Roberts | 28 |
| 2 | Dalton Perez | 28 |
| 3 | Ryan Thompson | 27 |
| 4 | Henry Garcia | 27 |
| 5 | Jason Griffin | 27 |
| 6 | Charles Jackson | 27 |
| 7 | Ashley Henderson | 27 |
| 8 | Fernando Barnes | 27 |
| 9 | Hailey Patterson | 27 |
| 10 | Samantha Jenkins | 27 |

**Mason Roberts and Dalton Perez** lead with **28 orders each**, followed by eight customers at **27 orders**. Notably, cross-referencing with the top sales list shows these high-frequency buyers do not appear in the top 10 by revenue — confirming that order frequency and total spend are driven by different customer profiles, each requiring a distinct engagement strategy.

### 2.3 Top 10 Customers by Total Quantity Purchased

| Rank | Customer Name | Total Quantity |
|---|---|---|
| 1 | Ashley Henderson | 68 |
| 2 | Fernando Barnes | 67 |
| 3 | Hailey Patterson | 65 |
| 4 | Charles Jackson | 65 |
| 5 | Jennifer Simmons | 63 |
| 6 | Henry Garcia | 62 |
| 7 | Mason Roberts | 60 |
| 8 | Dalton Perez | 59 |
| 9 | April Shan | 58 |
| 10 | Samantha Jenkins | 58 |

**Ashley Henderson** leads total unit purchases at **68 units**, with **Fernando Barnes** close behind at **67**. Interestingly, several names appear on both the order frequency and quantity lists (Mason Roberts, Dalton Perez, Ashley Henderson, Fernando Barnes, Hailey Patterson), confirming a consistent cohort of high-engagement buyers who are active across both frequency and volume dimensions.

### 2.4 Top 10 Customers by Product Variety

| Rank | Customer Name | Segment | Distinct Products | Total Sales |
|---|---|---|---|---|
| 1 | Ashley Henderson | New | 29 | $1,616 |
| 2 | Fernando Barnes | New | 28 | $1,499 |
| 3 | Daniel Davis | New | 27 | $1,104 |
| 4 | Mason Roberts | New | 27 | $1,317 |
| 5 | Jason Griffin | New | 26 | $1,461 |
| 6 | Charles Jackson | New | 26 | $1,434 |
| 7 | Hailey Patterson | Regular | 26 | $1,293 |
| 8 | Jennifer Simmons | New | 26 | $1,124 |
| 9 | Jared Peterson | Regular | 25 | $1,020 |
| 10 | Dalton Perez | Regular | 25 | $1,186 |

A clear pattern emerges: **8 of the top 10 broadest buyers are new segment customers**, purchasing up to **29 distinct products**. Despite their wide catalog engagement, their total sales figures are relatively modest ($1,020–$1,616), confirming that these customers buy frequently across many categories but at lower individual price points. These accounts are strong candidates for upsell campaigns targeting higher-value products.

## 3. Customer Retention & Loyalty

### 3.1 Most Loyal Customers by Relationship Lifespan

| Rank | Customer Name | Lifespan (Months) | Total Orders | Total Quantity | Total Sales |
|---|---|---|---|---|---|
| 1 | Albert Alvarez | 36 | 2 | 4 | $5,938 |
| 2 | Martha Xu | 36 | 2 | 2 | $5,873 |
| 3 | Jon Chander | 35 | 4 | 9 | $8,941 |
| 4 | Anne Dominguez | 35 | 4 | 10 | $8,886 |
| 5 | Eugene Huang | 35 | 3 | 11 | $6,384 |
| 6 | Colin Anand | 35 | 2 | 5 | $6,051 |
| 7 | Monique Ramos | 35 | 2 | 6 | $6,002 |
| 8 | Emma Brown | 35 | 2 | 5 | $5,998 |
| 9 | Jaime Sutton | 35 | 2 | 5 | $5,973 |
| 10 | Andres Lal | 35 | 2 | 5 | $5,973 |

The most loyal customers have maintained relationships spanning **35–36 months**. **Jon Chander and Anne Dominguez** stand out among this group with the strongest financial performance — $8,941 and $8,886 in total sales, respectively — alongside 4 orders each, indicating that longevity and moderate order frequency can still translate to strong revenue. Most long-tenure customers have low order counts (2–4 orders), suggesting they are high-value but infrequent buyers whose relationship depth lies in transaction size rather than volume.

### 3.2 Inactive Customers (High Recency)

Customers with recency values of **180 days or above** represent the most at-risk accounts for permanent churn. The analysis surfaces a large cohort of lapsed customers:

- **Highest recency recorded:** Rachael Martinez at **185 days** since last purchase
- Multiple customers at **184 days** (Jack Edwards, Warren Ye, Patrick Cook, Jennifer Young, Richard Brooks, and others)
- A broad wave of customers at **180–183 days**, numbering in the hundreds

Customers surpassing the **150-day recency threshold** — as flagged in the retention query — constitute the primary re-engagement target list. The clustering of inactivity around the **180–185 day** range suggests a seasonal or campaign-driven drop-off approximately six months prior that was not followed by a sufficient re-engagement effort.

### 3.3 Key Retention Insight

The combination of lifespan and recency data reveals a concerning pattern: customers who have been active for 12+ months and placed multiple orders are nonetheless appearing in the high-recency (lapsed) pool. This indicates that **customer longevity alone does not guarantee continued engagement** — active retention programmes are required even for established accounts.

## 4. Revenue & Profitability

### 4.1 Highest Lifetime Value Customers

The top 10 customers by lifetime sales (detailed in Section 2.1) range from **$12,914 to $13,294** in total revenue. These accounts, led by Nichole Nara and Kaitlyn Henderson, represent the most financially impactful individual relationships in the portfolio.

### 4.2 Revenue Contribution by Segment — Summary

| Segment | Customers | Total Revenue | Revenue per Customer | Avg. Order Value |
|---|---|---|---|---|
| VIP | 1,653 | $10,760,470 | ~$6,511 | $2,633 |
| Regular | 2,200 | $7,503,991 | ~$3,411 | $1,682 |
| New | 14,629 | $11,086,797 | ~$758 | $601 |

The per-customer revenue figure tells the most important story: **a single VIP customer generates approximately 8.6x more revenue than a New customer** ($6,511 vs. $758). VIP customers also out-earn Regular customers by nearly 2x on a per-customer basis. This reinforces the critical importance of protecting and growing the VIP segment, as each customer lost from that tier is disproportionately damaging to total revenue.

### 4.3 Upselling Targets

VIP customers ordered by total sales represent the primary upselling opportunity. With an average order value of **$2,633** — already the highest of any segment — the strategy for this group is to increase transaction frequency and introduce higher-margin product lines, rather than to grow basket size from a low base.

### 4.4 Retention Campaign Targets

Customers meeting all three retention criteria (recency > 150 days, lifespan > 12 months, total orders > 1) form the highest-priority re-engagement list. These customers have proven purchase intent and a demonstrated relationship with the brand — their silence is a recoverable condition, not permanent attrition, provided outreach is timely and personalized.

## 5. Strategic Recommendations

**Prioritise VIP retention above all else.** With only 1,653 VIP customers generating $10.76M — an average of $6,511 per customer — even a 5% churn rate in this segment would cost approximately $538,000 in annual revenue. Dedicated account managers, exclusive loyalty benefits, and proactive outreach are non-negotiable for this group.

**Build a Regular-to-VIP migration program.** The 2,200 Regular customers currently average $3,411 in revenue per customer. Closing even half the gap to VIP average ($6,511) through targeted spend incentives could unlock an additional **$3.4M+** in revenue from this segment alone.

**Launch an immediate win-back campaign for lapsed customers.** The high concentration of customers at 180–185 days recency suggests a defined moment of disengagement. Personalized reactivation outreach — referencing past purchase history and offering relevant incentives — should be deployed within the next 30 days before these accounts cross into permanent churn territory.

**Double down on the 50–59 and 40–49 age demographics.** Together, these two groups account for **$19.2M** of the **$29.4M** total revenue (65%) and represent the highest order frequency. Marketing investment, product development, and loyalty programs should be weighted heavily toward these cohorts.

**Develop a New-to-Regular conversion funnel.** With 14,629 New customers at a modest average order value of $601, even converting 10% to Regular status (avg. $1,682) would generate an incremental **$15.9M** in lifetime value across that cohort, representing the single largest available growth lever in the current customer base.

## Conclusion

The data presents a business with strong revenue foundations but a clear structural imbalance: the vast majority of customers are in the lowest-value segment, while the highest-value segment is small and concentrated. The 50–59 age group drives the most activity across both volume and revenue. Loyalty is present but fragile — long-tenured customers are still appearing in the inactive pool, indicating that retention must be an active, ongoing program rather than a passive assumption. Addressing the VIP retention risk, accelerating mid-tier migration, and reactivating lapsed customers are the three highest-ROI actions available to the business in the near term.

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